



FY 2021 RESULTS

MARCH 9, 2022

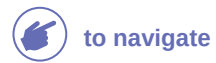
Conference Call
Corporate Investor Relations

Connecting**Chemistry**



Agenda

EXECUTIVE SUMMARY 2021
FINANCIAL DETAILS FY 2021
OUTLOOK
APPENDIX



Highlights FY 2021

OPERATING GROSS PROFIT
(fx adj.)

+19.6%

EUR 3,379.0m

OPERATING EBITDA
(fx adj.)

+29.5%

EUR 1,344.6m

FREE CASHFLOW

EUR 425m

Working Capital turn on a high level at 8.3x

EPS

EUR 2.90

Slightly lower than in 2020 due to special items

STRONG M&A EXECUTION

Performance of acquisitions exceeding plans

PROJECT BRENNTAG AHEAD OF PLAN

Already achieved more than half of anticipated effects

DIVIDEND PROPOSAL

EUR 1.45

Per share to be proposed to the GSM 2022

OUTLOOK FY 2022

EUR 1,450 - 1,550m

Operating EBITDA

Brenntag navigated very well through continued challenging market conditions in 2021

- 
- COVID-19 pandemic posed major challenges on global economy
 - Continued severe disruptions in global supply chains
 - Capacities of chemical producers impacted by spiking energy prices and „Dual-Control“ regulatory program in China
 - Overall high price volatility & increased transport costs

Project Brenntag Update



Overall Implementation

- Go-to-Market approach with dedicated sales organizations fully implemented globally
- Positive feedback from both customers and suppliers on new operating model



Measures

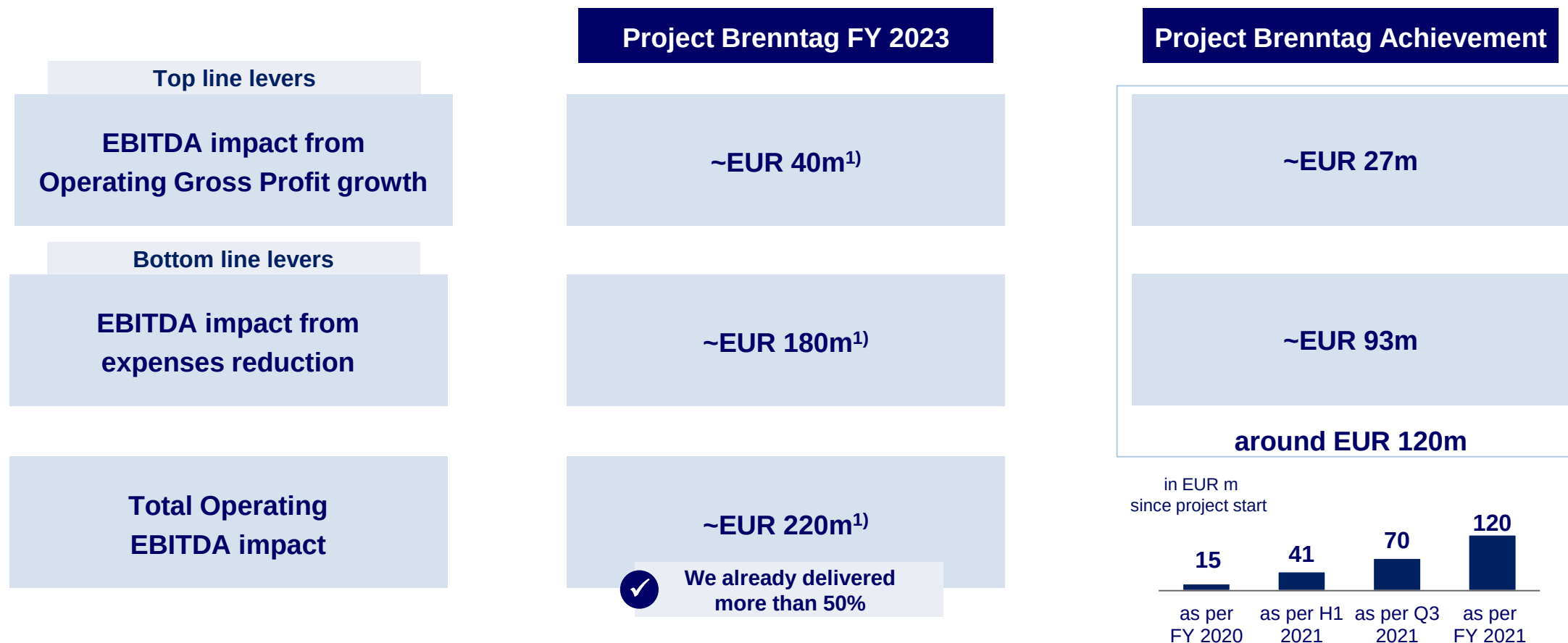
- Implementation of measures according to plan
- Broad portfolio of dedicated trainings for leaders and employees
- Centralization of administrative functions ongoing



Results

- Working Capital turn of 8.3x
- Structural reduction of around 925 jobs so far
- 72 site closures globally
- Operating EBITDA contribution of around EUR 120m (baseline 2019)

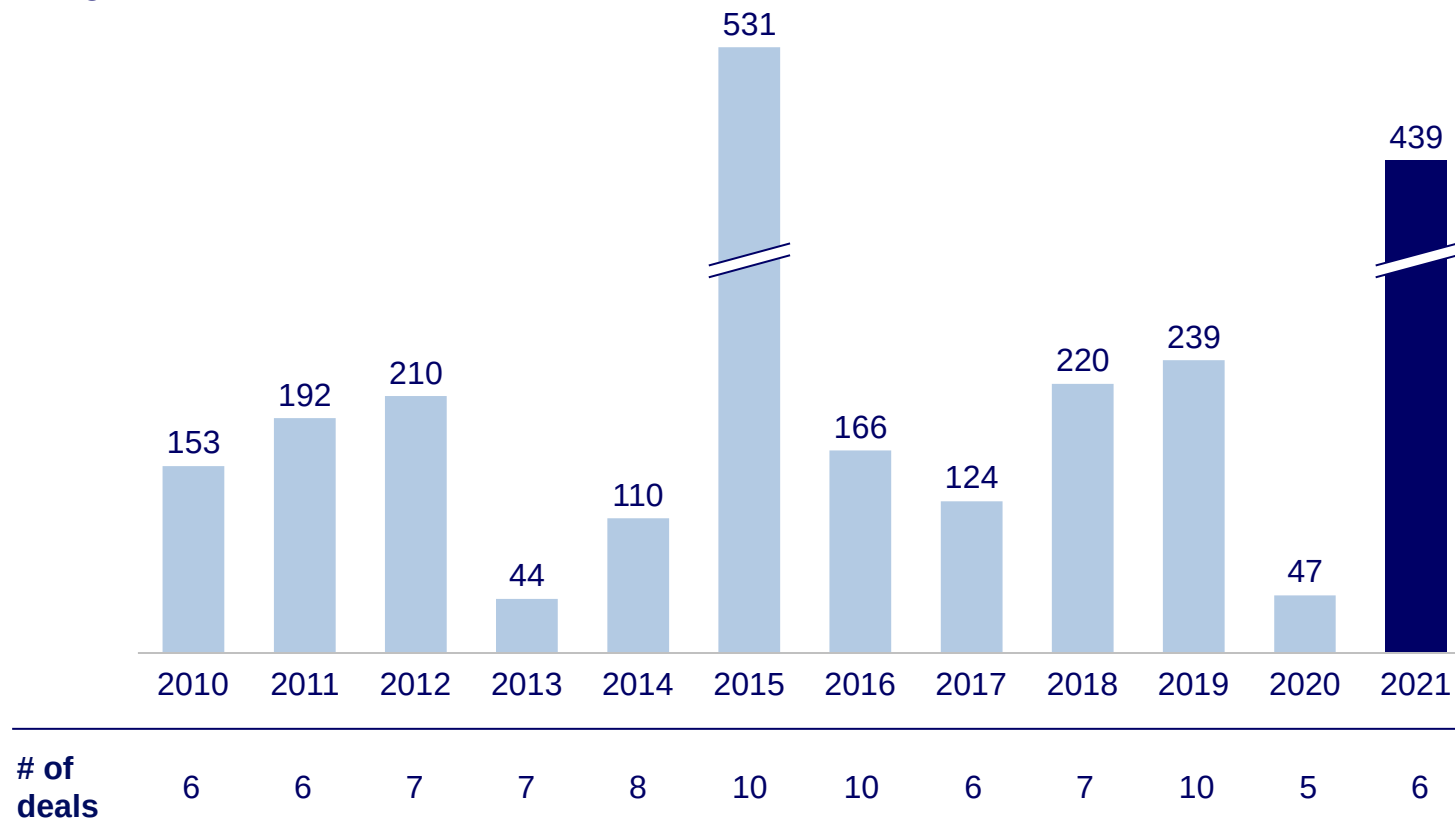
Project Brenntag achievements since inception of the program



¹⁾ Based on management estimates

Proven ability to enhance Brenntag's scale and portfolio through value accretive M&A

EV spend for M&A acquisitions
in EUR m

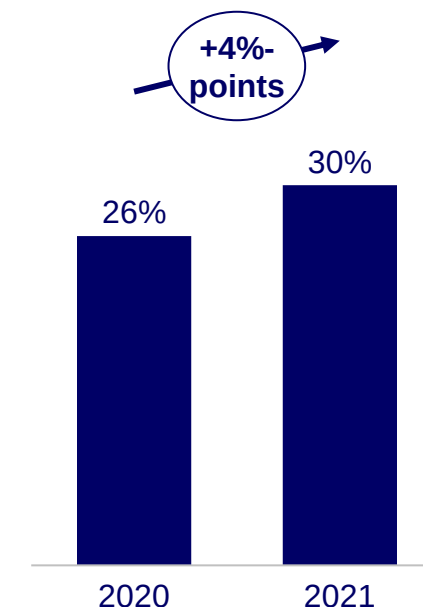


- ✓ Value enhancing M&A is a core part of Brenntag's growth strategy
- ✓ Management has strict return hurdle-rates for M&A (based on MIRR)
- ✓ €2.5bn deployed via 88 acquisitions since 2010 with an average multiple lower than our own valuation
- ✓ Leverage of 1.5 (Net Debt/EBITDA) positions Brenntag well for further consolidation

80% of M&A spend in 2021 related to highly attractive Nutrition Sector

	Water treatment	Nutrition				
	Comelt	Zhongbai	JM Swank	Alpha	ICL	Matrix
Region	Italy	China	USA	Canada	UK	USA
Closing	Jan-21	Jul-21	Aug-21	Feb-21	Jan-21	Jul-21
Scale & efficiency	–	–	–	✓	✓	✓
Emerging markets	–	✓	–	–	–	–
EBITDA contribution size		✓	✓	–	–	✓
Focus Industries (BSP)	✓	✓	✓	–	–	–
FY Sales ¹⁾ in EUR m	31	146	420	8	13	200
Multiple below Brenntag	✓	✓	✓	✓	✓	✓

Nutrition GP share of BSP in Percent

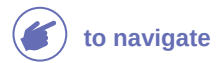


We deliver on our promise to strengthen key focus industries and geographies by meaningful acquisitions

¹⁾ Estimated FY Sales based on data available at closing

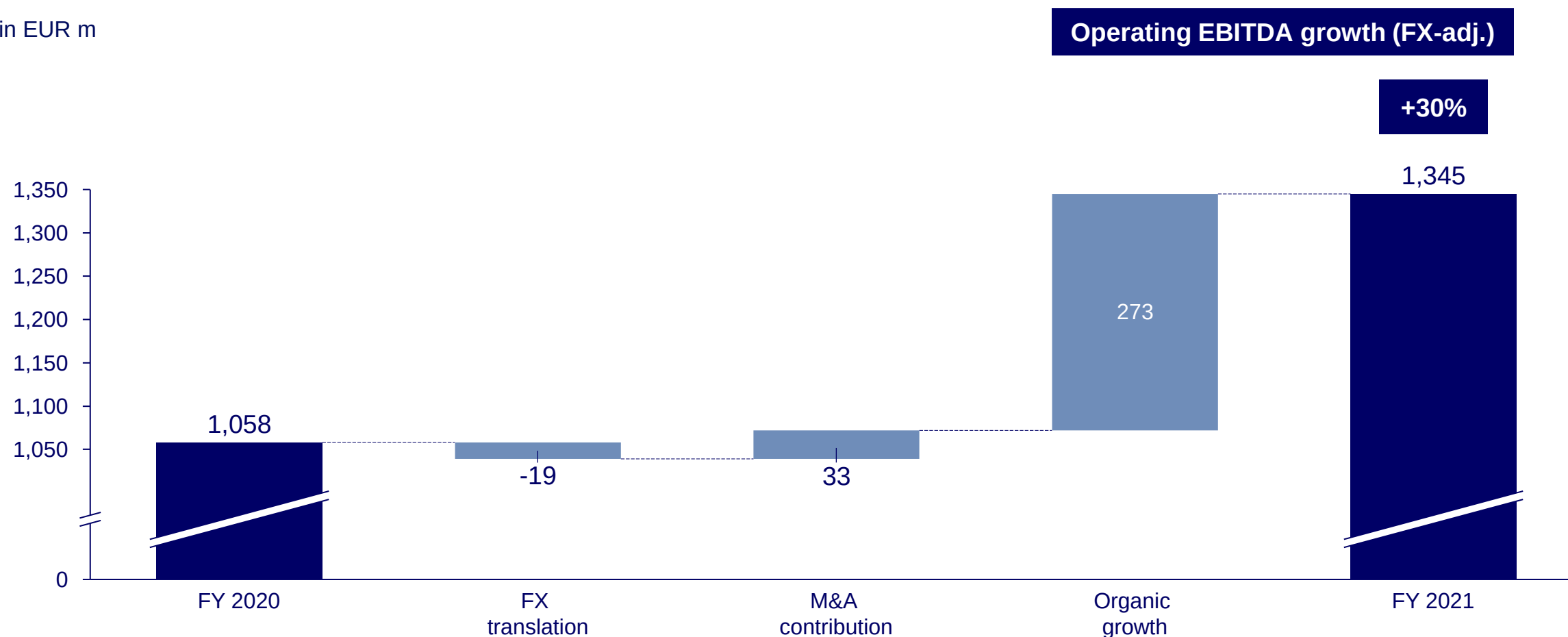
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Financials FY 2021: Operating EBITDA bridge*

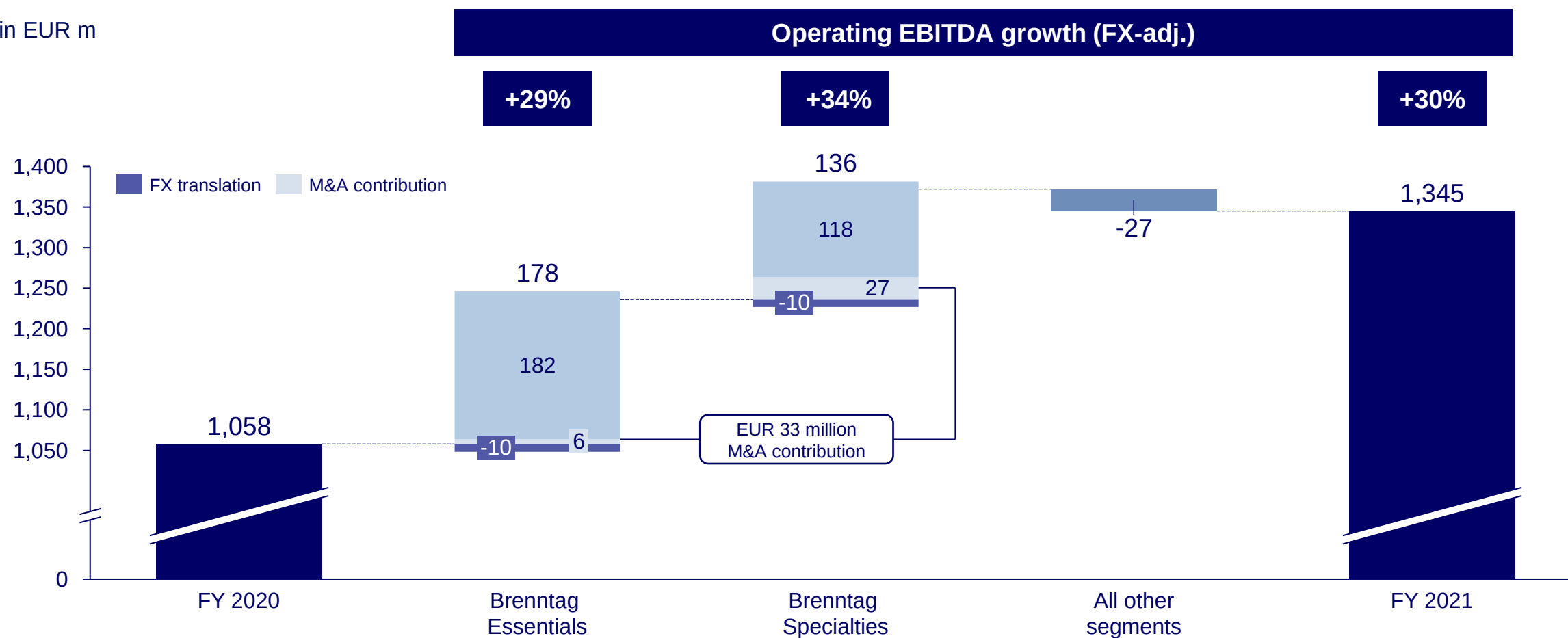
in EUR m



* Calculations are partly based on assumptions made by management; effects based on rounded figures

Financials FY 2021: Operating EBITDA bridge by division*

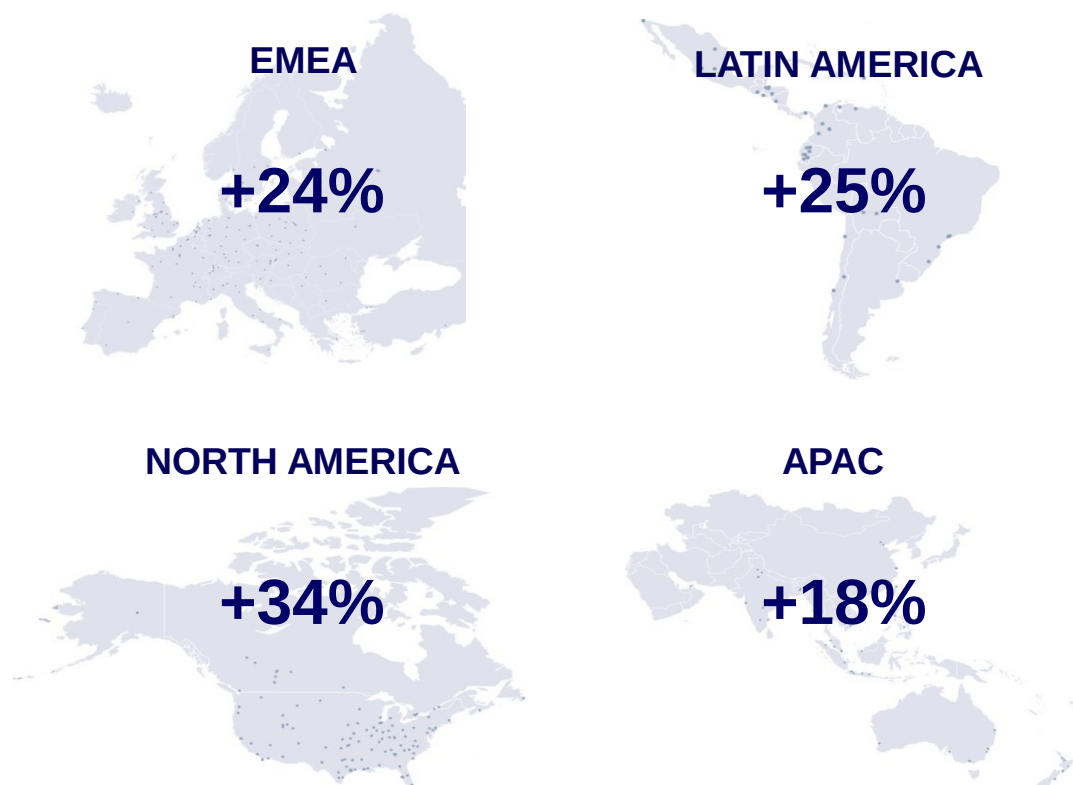
in EUR m



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Financials FY 2021: Brenntag Essentials

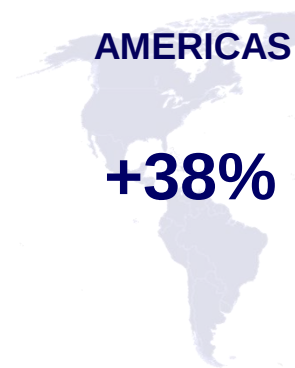
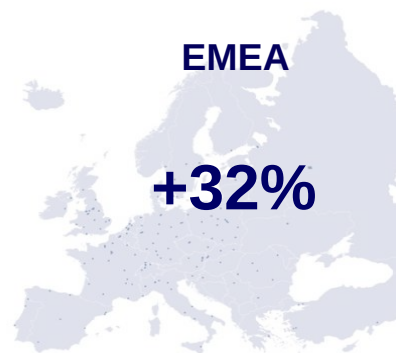
Operating EBITDA growth (FX-adj.)
in Percent



- Op. EBITDA development almost entirely organic
- All Brenntag Essentials segments contributed to positive performance
- EMEA and North America particularly strong
- Asia Pacific and especially China weaker towards year-end
- Various influencing factors such as high energy prices, supply chain pressure + inflationary transport cost
- Maintaining deliveries to customers was key
- Conversion ratio of ~41%

Financials FY 2021: Brenntag Specialties

Operating EBITDA growth (FX-adj.)
in Percent



Focus industries (GP dev.)

Nutrition ⬆

Pharma ⬆

Personal Care/HI&I ⬆

Water treatment ⬆

Material Science ⬆

Lubricants ⬆

- Brenntag Specialties with stronger growth than Brenntag Essentials
- Broad-based growth across all segments
- Growth across all segments and industries
- Brenntag Specialties grew mainly organically but also supported by acquisitions closed in 2021
- Business development impacted by COVID-19 pandemic, inflationary cost development + supply shortages
- Conversion ratio of ~44%

Financials FY 2021:

Income statement

in EUR m	FY 2021	FY 2020	Δ	Δ FX adjusted
Sales	14,382.5	11,794.8	21.9%	23.8%
Cost of materials	-11,003.5	-8,925.4	23.3%	-
Operating gross profit	3,379.0	2,869.4	17.8%	19.6%
Operating expenses	-2,034.4	-1,811.7	12.3%	13.9%
Operating EBITDA	1,344.6	1,057.7	27.1%	29.5%
Special items	-228.7	-47.2	-	-
Depreciation	-262.7	-252.4	4.1%	-
EBITA	853.2	758.1	12.5%	-
Amortization ¹⁾	-110.8	-45.1	-	-
EBIT	742.4	713.0	4.1%	-
Financial result	-92.1	-79.7	-	-
EBT	650.3	633.3	2.7%	-
Profit after tax	461.4	473.8	-2.6%	-
EPS	2.90	3.02	-4.0%	-

¹⁾ Includes scheduled amortization of customer relationships amounting to EUR 37.2 in 2021 (EUR 28.7m in 2020).

Financials FY 2021:

Cash flow items

in EUR m	FY 2021	FY 2020	Δ	Δ
Operating EBITDA	1,344.6	1,057.7	286.9	27.1%
CAPEX	-214.2	-201.9	12.3	6.1%
Δ Working capital	-575.3	325.0	-900.3	>100%
Principal and interest payments on lease liabilities	-130.5	-126.2	-4.3	3.4%
Free cash flow	424.6	1,054.6	-630.0	-59.7%

**FREE CASH
FLOW**

EUR 425m

**INTEREST AND TAX
PAYMENTS**

EUR -272m

CASH OUT FOR M&A

EUR -421m

DIVIDEND PAID

EUR -209m

Financials FY 2021: Working Capital

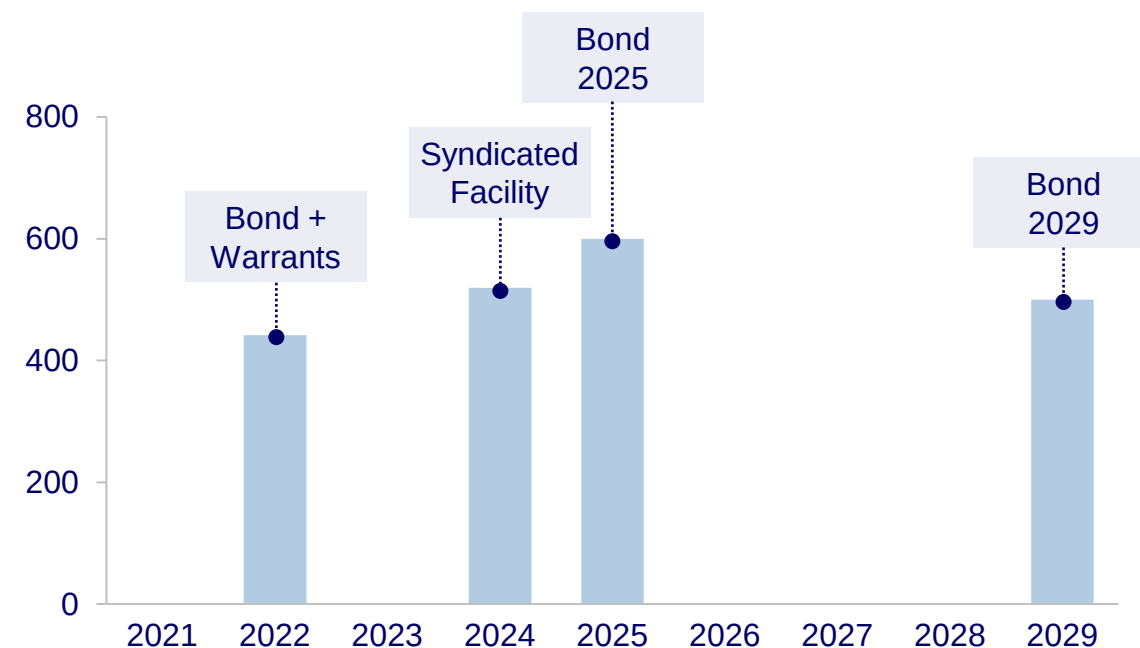
in EUR m	31 Dec 2021	31 Dec 2020
Inventories	1,621.9	978.9
+ Trade receivables	2,290.2	1,597.5
./. Trade payables	1,802.3	1,229.8
Working capital (end of period)	2,109.8	1,346.6
Working capital turnover (annualized) ¹⁾	8.3x	7.3x

¹⁾ Sales YTD extrapolated to the full year; average working capital is defined as the average of working capital at the beginning of the year and at the end of each quarter

Financials FY 2021: Balance sheet and maturity profile

in EUR m	31 Dec 2021	31 Dec 2020
Financial liabilities	2,329.7	1,639.4
Lease liabilities	445.6	426.8
./. Cash and cash equivalents	705.0	726.3
Net Debt	2,070.3	1,339.9
Net Debt/Operating EBITDA¹⁾	1.5x	1.3x
Equity	3,995.3	3,611.6

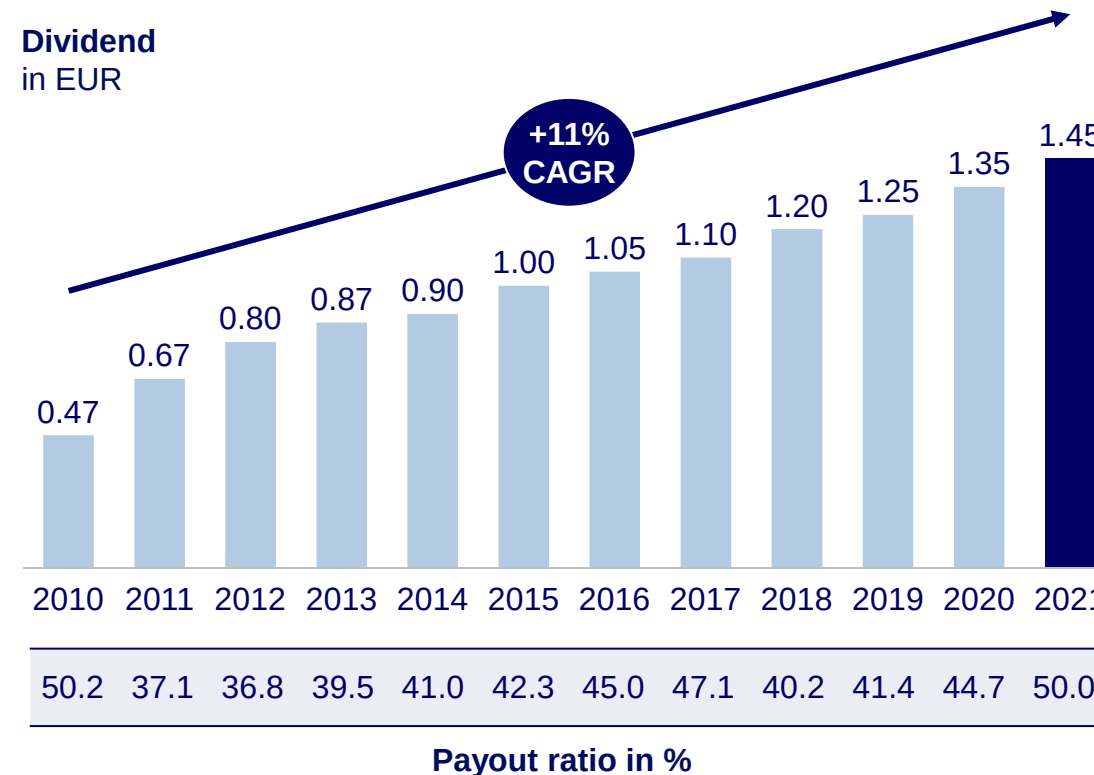
in EUR m



¹⁾ Operating EBITDA for the quarters on LTM basis calculated.

Financials FY 2021: Continuous dividend increase

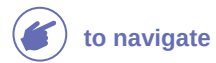
in EUR m	2021	2020	Δ
Profit after tax	461.4	473.8	-2.6%
Less minority interests	13.1	7.3	79.5%
Profit after tax (consolidated) attributable to shareholders of Brenntag SE	448.3	466.5	-3.9%
Proposed dividend payment	224.0	208.6	7.4%
Proposed dividend per share in EUR	1.45	1.35	7.4%
Payout ratio	50.0%	44.7%	-



Dividend policy: pay an annual dividend of **35% to 50%** of consolidated profit after tax attributable to shareholders of Brenntag SE

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Outlook 2022: Well positioned in a challenging environment



Macro environment

- Ukraine war is an extraordinary situation which we monitor closely
- Exceptional market conditions from 2021 expected to persist well into 2022
- Normalization only to be expected later in the year



Comments

- Good start into 2022
- Guidance includes uplift of Project Brenntag initiatives, closed M&A and assumes stable FX rates



Operating EBITDA Guidance

- FY 2022 operating EBITDA guidance of EUR 1,450 – 1,550m



Additional information

- EUR/USD: ~1.13 (2021: ~1.18)
- Sensitivity (FY basis): Delta of EUR/USD +/- 1 cent = EUR ~ +/- 5m op. EBITDA
- Tax rate: ~26% - 27%
- Capex 2022: EUR ~290m

Thank you for your attention!

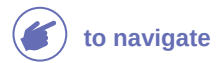
**We are happy
to answer your questions!**

Christian Kohlpaintner
CEO



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Review guidance 2021

in EUR m	March 2021	June 2021	Sept 2021	FY 2021
Operating EBITDA	1,080 - 1,180	1,160 - 1,260	1,260 - 1,320	[1,345]

- Guidance range raised twice in 2021
- Business model proofed resilience
- Consequent COVID-19 pandemic crisis management
- Maintaining supply chains for partners was key

Financials FY 2021: Segments (1/2)

in EUR m

Operating gross profit¹⁾

	FY 2021	FY 2020	Δ	Δ FX adjusted
Brenntag Essentials	2,066.9	1,806.2	14.4%	16.1%
Brenntag Specialties	1,283.2	1,042.4	23.1%	25.4%
All other segments	28.9	20.8	38.9%	38.9%
Brenntag Group	3,379.0	2,869.4	17.8%	19.6%

Operating EBITDA²⁾

	FY 2021	FY 2020	Δ	Δ FX adjusted
Brenntag Essentials	843.0	664.9	26.8%	28.6%
Brenntag Specialties	567.5	432.2	31.3%	34.3%
All other segments	-65.9	-39.4	67.3%	67.3%
Brenntag Group	1,344.6	1,057.7	27.1%	29.5%

Conversion ratio

	FY 2021	FY 2020
Brenntag Essentials	40.8%	36.8%
Brenntag Specialties	44.2%	41.5%
All other segments	-	-
Brenntag Group	39.8%	36.9%

in EUR m

Operating EBITA

	FY 2021	FY 2020	Δ	Δ FX adjusted
Brenntag Essentials	619.6	448.5	38.1%	40.4%
Brenntag Specialties	534.9	401.9	33.1%	36.0%
All other segments	-72.6	-45.1	61.0%	61.3%
Brenntag Group	1,081.9	805.3	34.3%	37.0%

¹⁾ External sales less cost of materials.

²⁾ Segment operating EBITDA is calculated as EBITDA adjusted for holding charges and special items.

Financials FY 2021: Segments (2/2)

in EUR m	Operating gross profit ¹⁾				Operating EBITDA ²⁾				Conversion ratio	
	FY 2021	FY 2020	Δ	Δ FX adjusted	FY 2021	FY 2020	Δ	Δ FX adjusted	FY 2021	FY 2020
Essentials EMEA	802.2	741.4	8.2%	7.8%	330.8	264.8	24.9%	24.3%	41.2%	35.7%
Essentials North America	999.9	830.4	20.4%	23.8%	414.7	318.3	30.3%	34.1%	41.5%	38.3%
Essentials Latin America	151.6	133.8	13.3%	19.1%	53.2	45.0	18.2%	24.9%	35.1%	33.6%
Essentials APAC	113.2	100.6	12.5%	11.9%	45.0	37.7	19.4%	18.1%	39.8%	37.5%
Brenntag Essentials	2,066.9	1,806.2	14.4%	16.1%	843.0	664.9	26.8%	28.6%	40.8%	36.8%
Specialties EMEA	594.5	494.3	20.3%	21.3%	276.5	212.6	30.1%	32.2%	46.5%	43.0%
Specialties Americas	459.2	366.2	25.4%	29.1%	180.3	134.6	34.0%	38.2%	39.3%	36.8%
Specialties APAC	229.5	181.9	26.2%	29.2%	111.8	85.5	30.8%	33.7%	48.7%	47.0%
Brenntag Specialties	1,283.2	1,042.4	23.1%	25.4%	567.5	432.2	31.3%	34.3%	44.2%	41.5%
Brenntag Group	3,379.0	2,869.4	17.8%	19.6%	1,344.6	1,057.7	27.1%	29.5%	39.8%	36.9%

¹⁾ External sales less cost of materials. ²⁾ Segment operating EBITDA is calculated as EBITDA adjusted for holding charges and special items. The difference between the sum total of the reportable segments (EMEA, Americas and APAC) and the Brenntag divisions is the result of central activities which are part of Brenntag divisions but not directly attributable to any one segment.

Financials FY 2021:

Cash flow statement

in EUR m	FY 2021	FY 2020
Profit after tax	461.4	473.8
Depreciation & amortization	373.5	297.5
Income taxes	188.9	159.5
Income tax payments	-222.5	-155.5
Interest result	59.5	66.4
Interest payments (net)	-49.5	-57.9
Dividends received	0.1	0.6
Changes in current assets and liabilities	-612.1	426.0
Changes in provisions	149.1	-33.9
Non-cash change in liabilities relating to acquisition of non-controlling interests	28.3	-0.4
Other	11.9	42.9
Cash provided by operating activities	388.6	1,219.0

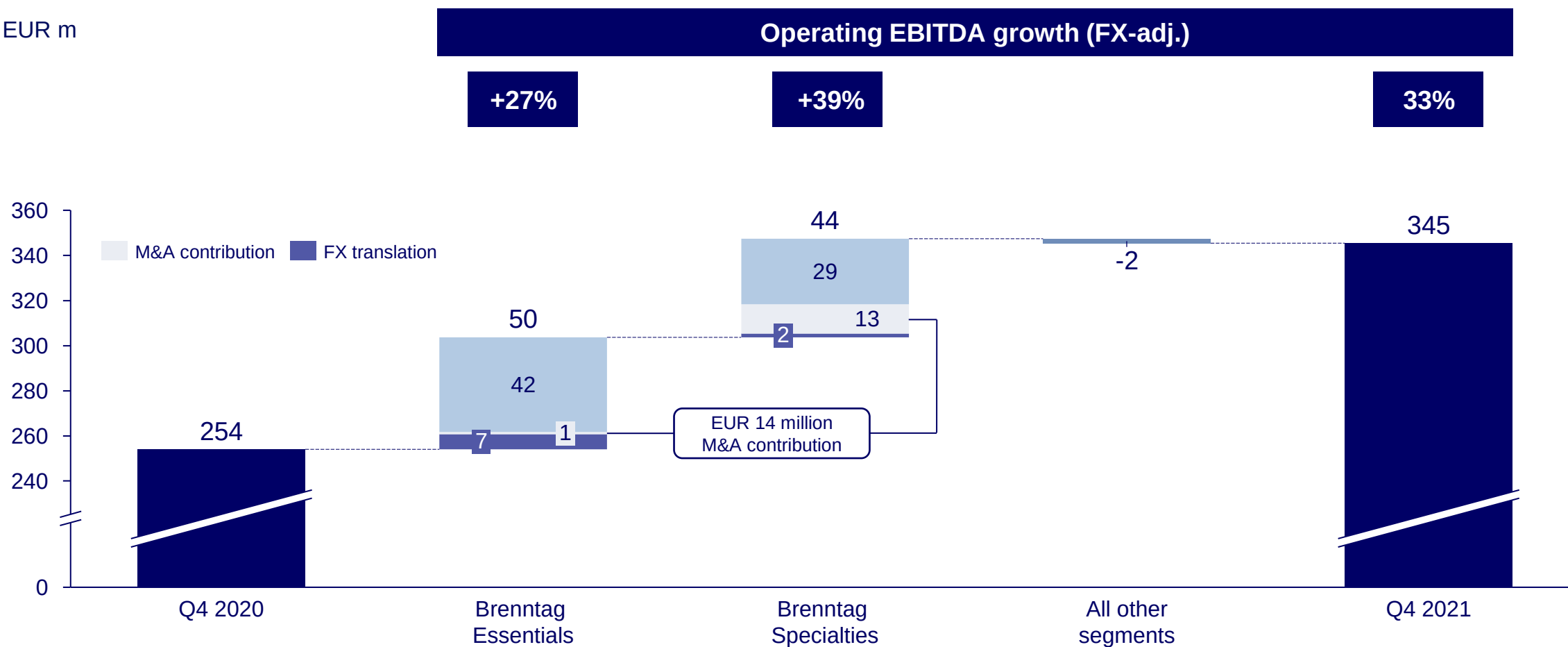
Financials FY 2021:

Cash flow statement (continued)

in EUR m	FY 2021	FY 2020
Purchases of intangible assets and property, plant & equipment (PPE)	-199.3	-199.1
Purchases of consolidated subsidiaries and other business units	-420.5	-46.4
Proceeds from the disposal of consolidated subsidiaries and business units	-	1.2
Other	11.3	20.2
Cash used for investing activities	-608.5	-224.1
Purchases of companies already consolidated	-16.5	-
Profits distributed to non-controlling interests	-2.1	-1.5
Dividends paid to Brenntag shareholders	-208.6	-193.1
Repayment of (-)/proceeds from (+) borrowings (net)	401.3	-541.0
Cash used for financing activities	174.1	-735.6
Change in cash & cash equivalents	-45.8	259.3

Financials Q4 2021: Operating EBITDA bridge*

in EUR m



* Calculations are partly based on assumptions made by management; effects based on rounded figures

Financials Q4 2021:

Income statement

in EUR m	Q4 2021	Q4 2020	Δ	Δ FX adjusted
Sales	4,041.7	2,880.4	40.3%	37.0%
Cost of materials	-3,128.2	-2,177.5	43.7%	-
Operating gross profit	913.5	702.9	30.0%	26.5%
Operating expenses	567.2	448.8	26.4%	23.1%
Operating EBITDA	346.3	254.1	36.3%	32.5%
Special items	-124.6	-13.8	-	-
Depreciation	-70.8	-62.8	12.7%	-
EBITA	150.9	177.5	-15.0%	-
Amortization ¹⁾	-19.1	-11.6	-	-
EBIT	131.8	165.9	-20.6%	-
Financial result	-42.9	-17.8	-	-
EBT	88.9	148.1	-40.0%	-
Profit after tax	63.0	115.2	-45.3%	-
EPS	0.38	0.72	-47.2%	-

Financials Q4 2021: Segments (1/2)

in EUR m

Operating gross profit¹⁾

	Q4 2021	Q4 2020	Δ	Δ FX adjusted
Brenntag Essentials	551.1	439.2	25.5%	21.5%
Brenntag Specialties	355.7	258.4	37.7%	35.1%
All other segments	6.7	5.3	26.4%	26.4%
Brenntag Group	913.5	702.9	30.0%	26.5%

Operating EBITDA²⁾

	Q4 2021	Q4 2020	Δ	Δ FX adjusted
Brenntag Essentials	208.5	158.1	31.9%	27.2%
Brenntag Specialties	150.3	106.9	40.6%	38.8%
All other segments	-12.5	-10.9	14.7%	16.5%
Brenntag Group	346.3	254.1	36.3%	32.5%

Conversion ratio

	Q4 2021	Q4 2020
Brenntag Essentials	37.8%	36.0%
Brenntag Specialties	42.3%	41.4%
All other segments	-	-
Brenntag Group	37.9%	36.2%

in EUR m

Operating EBITA

	Q4 2021	Q4 2020	Δ	Δ FX adjusted
Brenntag Essentials	148.5	104.6	42.0%	36.6%
Brenntag Specialties	141.4	99.1	42.7%	40.9%
All other segments	-14.4	-12.4	16.1%	17.7%
Brenntag Group	275.5	191.3	44.0%	40.0%

¹⁾ External sales less cost of materials.

²⁾ Segment operating EBITDA is calculated as EBITDA adjusted for holding charges and special items.

Financials Q4 2021: Segments (2/2)

in EUR m	Operating gross profit ¹⁾				Operating EBITDA ²⁾				Conversion ratio	
	Q4 2021	Q4 2020	Δ	Δ FX adjusted	Q4 2021	Q4 2020	Δ	Δ FX adjusted	Q4 2021	Q4 2020
Essentials EMEA	210.1	179.3	17.2%	15.8%	85.3	57.8	47.6%	45.1%	40.6%	32.2%
Essentials North America	268.7	195.3	37.6%	31.1%	98.5	74.2	32.7%	25.8%	36.7%	38.0%
Essentials Latin America	41.6	35.1	18.5%	16.5%	13.7	13.2	3.8%	3.1%	32.9%	37.6%
Essentials APAC	30.7	29.5	4.1%	-1.3%	9.7	13.1	-26.0%	-30.6%	31.6%	44.4%
Brenntag Essentials	551.1	439.2	25.5%	21.5%	208.5	158.1	31.9%	27.2%	37.8%	36.0%
Specialties EMEA	153.8	121.8	26.3%	26.4%	70.7	51.4	37.5%	39.1%	46.0%	42.2%
Specialties Americas	136.6	85.2	60.3%	53.5%	51.8	29.1	78.0%	70.0%	37.9%	34.2%
Specialties APAC	65.3	51.4	27.0%	24.9%	28.1	26.5	6.0%	4.2%	43.0%	51.6%
Brenntag Specialties	355.7	258.4	37.7%	35.1%	150.3	106.9	40.6%	38.8%	42.3%	41.4%
Brenntag Group	913.5	702.9	30.0%	26.5%	346.3	254.1	36.3%	32.5%	37.9%	36.2%

¹⁾ External sales less cost of materials. ²⁾ Segment operating EBITDA is calculated as EBITDA adjusted for holding charges and special items. The difference between the sum total of the reportable segments (EMEA, Americas and APAC) and the Brenntag divisions is the result of central activities which are part of Brenntag divisions but not directly attributable to any one segment.

Financials Q4 2021:

Free cash flow

	Q4 2021	Q4 2020	Δ	Δ
Operating EBITDA	346.3	254.1	92.2	36.3%
CAPEX	-108.3	-74.8	33.5	-44.8%
Δ Working capital	-132.3	110.8	-243.1	>100%
Principal and interest payments on lease liabilities	-33.2	-31.4	-1.8	5.7%
Free cash flow	72.5	258.7	-168.2	-72.0%

Financials Q4 2021:

Cash flow statement

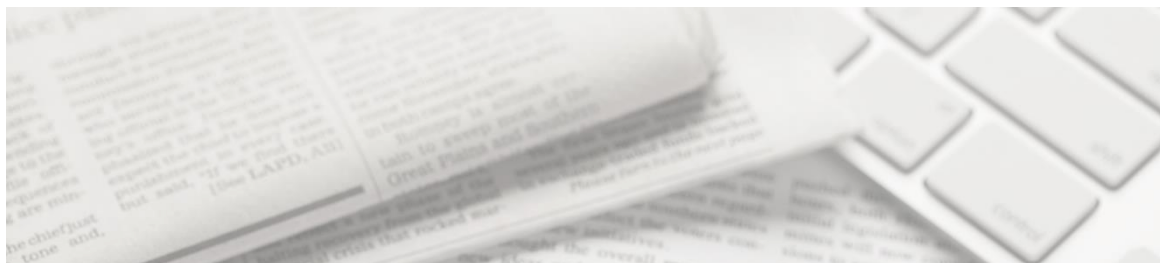
in EUR m	Q4 2021	Q4 2020
Profit after tax	63.0	115.2
Depreciation & amortization	89.9	74.4
Income taxes	25.9	32.9
Income tax payments	-68.3	-37.3
Interest result	18.2	13.3
Interest payments (net)	-15.9	-11.6
Changes in current assets and liabilities	-141.2	181.3
Changes in provisions	100.6	-38.9
Other	32.6	0.2
Cash provided by operating activities	104.8	329.5

Financials Q4 2021:

Cash flow statement (continued)

in EUR m	Q4 2021	Q4 2020
Purchases of intangible assets and property, plant & equipment (PPE)	-89.4	-68.1
Purchases of consolidated subsidiaries and other business units	-0.7	-18.6
Proceeds from the disposal of consolidated subsidiaries and business units	-0.1	0.0
Other	1.3	12.3
Cash used for investing activities	-88.9	-74.3
Purchases of companies already consolidated	-	-
Profits distributed to non-controlling interests	-0.6	-0.5
Dividends paid to Brenntag shareholders	-	-
Repayment of (-)/proceeds from (+) borrowings (net)	138.3	-386.1
Cash used for financing activities	137.7	-386.6
Change in cash & cash equivalents	153.6	-131.4

Financial calendar / Contact



Date	Event
May 11, 2022	Interim Report Q1 2022
June 9, 2022	General Shareholders' Meeting
August 10, 2022	Interim Report Q2 2022
November 9, 2022	Interim Report Q3 2022

The financial calendar is updated regularly. You can find the latest dates on <https://www.brenntag.com/corporate/en/investor-relations/publications-events/financial-calendar/>
Please note that these dates could be subject to change.



Kelvin Jörn
Manager IR
 Bianca Li
Manager IR
 Thomas Altmann
SVP IR
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